

*minus* cash (as well as short-term investments and non-interest-bearing current liabilities)

*plus* past accounting charges that reduced invested capital.

ROIC has the virtue of showing, after all legitimate expenses, what the company earns from its operating businesses—and how efficiently it has used the shareholders' money to generate that return. An ROIC of at least 10% is attractive; even 6% or 7% can be tempting if the company has good brand names, focused management, or is under a temporary cloud.

By checking “comparables,” or the prices at which similar businesses have been acquired over the years, managers like Oakmark's Nygren and Longleaf Partners' O. Mason Hawkins get a better handle on what a company's parts are worth. For an individual investor, it's painstaking and difficult work: Start by looking at the “Business Segments” footnote in the company's annual report, which typically lists the industrial sector, revenues, and earnings of each subsidiary. (The “Management Discussion and Analysis” may also be helpful.) Then search a news database like Factiva, ProQuest, or LexisNexis for examples of other firms in the same industries that have recently been acquired. Using the EDGAR database at [www.sec.gov](http://www.sec.gov) to locate their past annual reports, you may be able to determine the ratio of purchase price to the earnings of those acquired companies. You can then apply that ratio to estimate how much a corporate acquirer might pay for a similar division of the company you are investigating.

By separately analyzing each of the company's divisions this way, you may be able to see whether they are worth more than the current stock price. Longleaf's Hawkins likes to find what he calls “60-cent dollars,” or companies whose stock is trading at 60% or less of the value at which he appraises the businesses. That helps provide the margin of safety that Graham insists on.

## **Who's the Boss?**